



A LICENSED NC GC FIELD GUIDE

The 9 Execution Risks Killing NC Investor Deals in 2026

How to spot each one in 5 seconds — and what each one costs to discover too late.

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WHY THIS EXISTS

Most NC investor deals don't fail at acquisition. They fail at execution.

You ran the numbers. The deal works on paper. ARV, rehab budget, holding cost, exit strategy — all in your spreadsheet. You bought it. Then 8 weeks in, you discover the supply lines are polybutylene and the buyer's lender flags the property at appraisal. You're suddenly \$14K over budget and 6 weeks behind.

This pattern is so consistent that it's the entire reason **Southern Cities Construction** built the Investor Execution Platform. We're a licensed NC GC who reviews investor deals for execution risk *before* earnest money goes hard.

This PDF documents the 9 risks we've seen kill more NC investor deals in 2026 than any other category. For each one, you get:

WHAT IT IS	the construction reality
HOW TO SPOT IT IN 5 SECONDS	visual or contextual tells from listing photos / drive-by / inspection
WHAT IT COSTS	dollar range based on actual Charlotte / Triangle / Wilmington jobs in 2025–2026
WHY YOUR BUYER'S LENDER CARES	for the BRRRR or flip-to-FHA folks

Your next deal probably has 2 or 3 of these. The question is which.

— *Darius T. Walton* · NC GC License #107724

RISK 1

Labor market spike outpaced your per-sqft math

WHAT IT IS

Labor costs in North Carolina's metro submarkets have surged faster than national averages. Charlotte rough trade rates jumped roughly 28% from early 2024 to early 2026. Raleigh-Durham about 22%. Wilmington 18%. Most investors use a per-sqft rehab multiplier they wrote down on their last deal or learned from a national real estate podcast. That number is now stale by tens of thousands of dollars.

HOW TO SPOT IT IN 5 SECONDS

Look at your most recent rehab budget. Was it built using a per-sqft number from a deal you did in 2023 or 2024, or from a national source? If yes, it's stale.

WHAT IT COSTS

A 1,400 sqft cosmetic rehab that priced at \$42K in 2024 is closer to **\$54K – \$58K** in early 2026. Same scope, same submarket. The investor who didn't update the multiplier is now **\$12K – \$16K over budget** before the first sub touches the property.

WHY YOUR BUYER'S LENDER CARES

Not directly — but your appraisal will. If you under-budgeted the rehab and the ARV doesn't actually materialize because you cut corners, the refi falls apart.

RISK 2

Permit path is longer than you think

WHAT IT IS

The classification of your rehab assumes a normal permit cycle. NC jurisdictions vary wildly — and the differences can blow your timeline by 6 to 12 weeks of additional holding cost.

JURISDICTION	TYPICAL PERMIT REVIEW TIME
Mecklenburg County (Charlotte)	8 – 11 weeks for residential alteration
Wake County (Raleigh)	6 – 9 weeks
Durham County	5 – 8 weeks
New Hanover (Wilmington)	7 – 10 weeks
Cumberland (Fayetteville)	4 – 7 weeks

If the work touches the structural envelope, has prior unpermitted work, or is in a backlogged jurisdiction, add 3 – 6 weeks.

HOW TO SPOT IT IN 5 SECONDS

Pull the property's permit history. If there's any structural work, addition, or square footage change in the last 30 years that doesn't have a permit, your moderate rehab classification was wrong from the start.

WHAT IT COSTS

6 weeks of additional holding cost on a \$200K loan at 11% hard money interest = roughly **\$2,500**. That's just carrying cost. Add lost weekly rent income for a BRRRR (**\$6,000+**) and the impact on flip timeline (delayed sale = price reduction risk).

WHY YOUR BUYER'S LENDER CARES

Lenders won't extend draw deadlines indefinitely. Permit delays can force re-underwriting or higher carrying costs.

RISK 3

Galvanized plumbing throughout

WHAT IT IS

Older NC properties built before roughly 1965 often have galvanized steel supply lines. They look intact from the outside but corrode internally. Water flow drops, leaks emerge, and any home inspector will flag them.

HOW TO SPOT IT IN 5 SECONDS

Check under the kitchen sink or in the basement / crawl space. If the supply lines are dull, grayish-silver, threaded steel pipes (not shiny copper, not PEX, not white PVC) it's galvanized. Visible rust at the joints is the smoking gun. In listing photos, look at the basement / crawl space photos for any visible pipework.

WHAT IT COSTS

Full repipe of a 1,400-sqft single-family in Charlotte: **\$8,000 – \$15,000**. Includes labor, materials, drywall patch and paint where access was cut, and basic fixture reconnection.

WHY YOUR BUYER'S LENDER CARES

FHA and VA loans flag galvanized plumbing as a material defect. Most conventional lenders will require resolution before close. If your buyer is using FHA / VA financing, this single issue can kill your sale unless you repipe.

RISK 4

Federal Pacific Stab-Lok or Zinsco electrical panel

WHAT IT IS

Two specific electrical panel brands are well-known fire hazards. **Federal Pacific Electric (FPE) Stab-Lok** panels have a documented history of breakers failing to trip under overload. **Zinsco** panels suffer from corrosion at the bus bar. Both are commonly found in NC homes built between roughly 1955 and 1985.

HOW TO SPOT IT IN 5 SECONDS

Look at the listing photos for any image of the electrical panel. Federal Pacific panels say **Federal Pacific Electric** or **FPE** on the cover, often with red Stab-Lok branding inside. Zinsco panels say **Zinsco** or Sylvania (after the acquisition). Zinsco breakers are often distinctive multi-color (red, blue, green handles).

WHAT IT COSTS

Panel replacement in Charlotte: **\$4,000 – \$7,000** including service upgrade if needed (most older panels are 100-amp; modern 200-amp service is the standard target).

WHY YOUR BUYER'S LENDER CARES

Insurance companies refuse to underwrite homes with these panels. No insurance = no mortgage. FHA / VA / conventional all require resolution before close.

RISK 5

Aluminum branch-circuit wiring

WHAT IT IS

Homes built roughly 1965 – 1975 in NC sometimes used aluminum wire for branch circuits instead of copper. Aluminum expands and contracts with temperature, loosening connections at outlets and switches. This causes overheating and is a documented fire hazard.

HOW TO SPOT IT IN 5 SECONDS

Pull off any outlet cover plate. If the wires entering the outlet are dull silver-gray (instead of copper / orange-brown), it's aluminum branch-circuit wiring. In listing photos, look for the panel — if it's an older (1965 – 1975) panel, assume aluminum branch wiring is likely until verified.

WHAT IT COSTS

Two options:

Pigtailing (copper-aluminum approved connectors at every outlet / switch): **\$2,500 – \$4,500** for a typical 3-bedroom home.

Full rewire (replacing all branch circuits with copper): **\$8,000 – \$15,000**.

Most buyers' lenders require at minimum pigtail.

WHY YOUR BUYER'S LENDER CARES

Same as Risk 4 — insurance refuses to underwrite. Plus FHA flagging. The pigtail solution often satisfies lender requirements; full rewire is sometimes overkill but always safe.

RISK 6

Polybutylene supply lines

WHAT IT IS

Polybutylene pipe was widely used for residential water supply in the US from roughly 1978 to 1995, including thousands of NC homes. It degrades from contact with chlorinated water. Failure is sudden — pipes burst with no warning. Class-action settlements ended decades ago, so the cost is fully on the owner.

HOW TO SPOT IT IN 5 SECONDS

Polybutylene supply lines are **gray plastic** (sometimes blue or black). Look at the connections to the water heater, exposed pipes in the basement / crawl space, and connections under sinks. They look like gray plastic tubing with metal crimp rings. If you see this, it's polybutylene.

WHAT IT COSTS

Full repipe of a 1,400-sqft single-family in Charlotte: **\$10,000 – \$14,000**. Cost varies based on whether the existing PB is in walls (requiring drywall patch) or in accessible crawl space (cheaper).

WHY YOUR BUYER'S LENDER CARES

Polybutylene is flagged by most lenders and insurance companies. Often shows up on inspection reports as a material defect requiring resolution. A BRRRR refi where the appraiser sees PB and notes it on the report can force you to repipe before the refi clears.

RISK 7

Roof past useful life when you budgeted partial repair

WHAT IT IS

You walked the property and the roof looks OK. You budgeted \$3K – \$5K for partial repair or patch. The inspection comes back saying the roof has 2 years of remaining life and the buyer's lender requires full replacement before close.

HOW TO SPOT IT IN 5 SECONDS

Find the year the home was built. Asphalt shingle roofs typically last 20 – 25 years in NC's climate. If the home was built in 2000 and the current roof is original, it needs replacement. Look at the listing photos for an aerial / drone shot — granular loss, missing shingles, sagging ridges, and dark streaks (algae) all indicate end-of-life.

WHAT IT COSTS

Full roof replacement, 1,400-sqft single-family in Charlotte: **\$12,000 – \$18,000**. Varies based on roof complexity, decking condition, and material grade.

WHY YOUR BUYER'S LENDER CARES

Conventional lenders typically require a roof with at least 3 – 5 years of remaining life. FHA / VA require 2+ years. If the inspector calls it under, repairs or full replacement is required before close. You cannot close around it.

RISK 8

Clay sewer line with root intrusion or collapse

WHAT IT IS

NC homes built before roughly 1980 often have **clay or Orangeburg (compressed tar paper)** sewer lines from house to street. Tree roots invade through joints. Sections collapse. You don't know it's an issue until a camera scope or until the line backs up. Often missed on standard home inspection because it requires specialty scope equipment.

HOW TO SPOT IT IN 5 SECONDS

Look at the property's mature tree placement. If there are 20+ year-old trees within 30 feet of the sewer line (which typically runs from the house to the street at the front), assume there's potential. Ask the listing agent if a sewer scope was done. Listing photos rarely show this risk.

WHAT IT COSTS

Trenchless sewer line replacement (best case): **\$6,000 – \$9,000**. Full excavation replacement (worse case): **\$10,000 – \$18,000**. If the line runs under a driveway or hardscape that needs to be cut and replaced, add \$3K – \$8K.

WHY YOUR BUYER'S LENDER CARES

Sewer line issues that surface during the inspection period kill deals. Buyers can use this as a price-reduction lever or a walk-away trigger. If you discover it during your rehab, you eat it.

RISK 9

HVAC sequencing trap

WHAT IT IS

The classification of your rehab assumes a normal trade sequence. HVAC is supposed to be roughed-in **before** drywall goes up. If you sequenced wrong — drywall first, then realized the HVAC needs additional ductwork — you're paying to cut, drop, and patch drywall, AND paying the HVAC crew a second mobilization fee. This is the most common sequencing error I see on investor rehabs in 2026.

HOW TO SPOT IT IN 5 SECONDS

Look at your project schedule. If HVAC is scheduled AFTER drywall, it's wrong. If you're doing a kitchen relocation, basement build-out, or addition — any of these may require running new ductwork through existing wall cavities. That work has to happen BEFORE drywall is closed up.

WHAT IT COSTS

Rework: **\$3,000 – \$8,000** in patched drywall, repainting, and HVAC re-mobilization. Plus 1 – 2 weeks of additional schedule and the cascade impact on every downstream trade.

WHY YOUR BUYER'S LENDER CARES

They don't see the rework directly. But the schedule slip cascades into your draw schedule, holding costs, and potentially appraisal timing for BRRRR refi.

COST SUMMARY

What each risk costs to discover late.

These are the cost ranges from actual 2025–2026 Charlotte / Triangle / Wilmington jobs. Most investor deals carry 2 or 3 of these risks unaddressed at acquisition.

#	RISK	TYPICAL COST IF DISCOVERED LATE
1	Stale labor multiplier	\$12K – \$16K (depending on scope size)
2	Permit timeline drift	\$2.5K – \$8.5K in holding cost + lost income
3	Galvanized plumbing	\$8K – \$15K
4	Federal Pacific / Zinsco panel	\$4K – \$7K
5	Aluminum wiring	\$2.5K – \$15K
6	Polybutylene supply lines	\$10K – \$14K
7	Roof past useful life	\$12K – \$18K
8	Clay / Orangeburg sewer line	\$6K – \$18K
9	HVAC sequencing trap	\$3K – \$8K + schedule cascade

TOTAL POTENTIAL EXPOSURE PER DEAL

\$60,000 – \$119,500

Most investor deals carry 2 to 3 of these risks unaddressed. If you're underwriting a deal in NC right now and you didn't check for all 9, your real rehab budget is probably **\$20,000 – \$50,000 higher** than what's in your spreadsheet.

WHY TRUST THIS

NOT A GURU

I'm not a real estate guru. I'm a licensed NC General Contractor (#107724) running actual jobsites across NC. My name is on the license — if the work's wrong, NC can pull it. Coaches don't have that downside.

I PAID TUITION YOU DON'T HAVE TO

I built this because I lost **over \$100K on my own investing deals** when I first got into real estate 8 years ago — bad budget assumptions, wrong labor multipliers, missed permit timelines. The 9 risks in this PDF are what that \$100K bought me.

NO ONE ELSE WILL DO THIS

Most GCs won't review a property you don't own yet. **We will**, because we know exactly what costs investors money.

HOW TO KNOW IF YOUR DEAL IS EXPOSED

Two paths.

Path 1 — Run it yourself. Use this PDF as a checklist. Walk every property you're underwriting and physically check for each of the 9 risks. This works if you have the construction background to spot them and the time to be thorough.

Path 2 — Have a licensed NC GC do it for you. The **Investor Execution Review (CO1)** is what Southern Cities Construction does to check every single one of these on your specific deal — plus market-current labor pricing, permit-jurisdiction reality, and a structured risk score you can use to underwrite.

\$499 FLAT FEE

Refundable as credit against any deeper engagement (Project Setup, Active Oversight, GC-Supported Build, or Full-Service GC).

48-HOUR TURNAROUND

Submit Friday morning, get the report by Tuesday.

PERFORMANCE GUARANTEE

If after our 24-hour intake we determine we cannot perform the standard review on your deal, full refund — no questions. Once we accept, we deliver.

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Real contractor, real liability. Not a coach, not a course.

The only investors who pay \$499 net are the ones who run the review **and** walk away from the deal — because the review found a \$20K+ problem they didn't see, and the math no longer worked. In which case the \$499 just saved them \$5K – \$50K.

Get the Execution Review on your next deal:

southerncitiesconstruction.com/platform/co1

Or reply to the email this PDF came in. We read every reply.

— *Darius T. Walton*

Founder, Southern Cities Construction

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